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ECONOMY

## UNTAMED INFLATION

By M.G. Arun | *Illustration by* NILANJAN DAS

The Reserve Bank of India (RBI) seems to have its back to the wall. Despite hiking interest rates multiple times this year, inflation has shown no signs of easing, with retail inflation, measured by the consumer price index (CPI), touching 7.4 per cent in September. This is the ninth month in a row—or three quarters—that inflation has breached the RBI's 6 per cent upper range limit. The RBI is now duty-bound to give the Centre an explanation. But can it really do anything to ease the pressure? Perhaps not, say experts. Worse, rate hikes inevitably hurt growth. The International Monetary Fund has already cut India's 2022-23 GDP growth projection to 6.8 per cent from its 7.4 per cent estimate in July, while the World Bank revised its forecast to 6.5 per cent from the earlier 7.5 per cent estimate.

